26900175 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)

REGULAR EXAMINATION October 2026

Fifth SEMESTER

Discipline Specific Elective (DSE) - MG5DSEECO301 - FINANCIAL REGULATION AND SUPERVISION

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Which authority grants licenses to insurance companies in India? [K] / [CO1]
   a). RBI b). IRDAI
   c). SEBI d). PFRDA
2. How is off-site supervision typically conducted? [K] / [CO2]
   a). Physical inspection b). Analysis of regulatory returns and reports
   c). Court proceedings d). Public meetings
3. How do commercial banks primarily raise funds? [U] / [CO2]
   a). Public deposits b). Government grants only
   c). Share trading d). Foreign aid
4. What risk weight is typically assigned to assets with higher credit risk? [U] / [CO2]
   a). Lower risk weights b). Zero risk weights
   c). Higher risk weights d). Uniform risk weights
5. When are banks expected to use the CCB? [U] / [CO5]
   a). Periods of financial stress b). High inflation only
   c). Elections d). Tax assessments
6. What does A represent in CAMELS? [K] / [CO5]
   a). Assets b). Asset Quality
   c). Audit d). Accounting
7. What ratio promotes stable long-term funding for banks? [U] / [CO5]
   a). LCR b). NSFR
   c). SLR d). PCR

8. Why is the regulation of NBFCs considered important for financial stability? [U] / [CO2]

a). They are larger than banks in asset size

b). Their failure can create systemic spillover effects

c). They are fully owned by the government

d). They operate only in rural areas

9. The main objective of Scale-Based Regulation is to: [U] / [CO2]

a). Regulate NBFCs according to their size, activities and risk

b). Apply identical regulations to all NBFCs

c). Eliminate NBFCs

d). Reduce the number of banks

10. When a customer establishes a new account-based relationship, within how many days must the Regulated Entity (RE) file the electronic copy of the KYC data with CKYCR? [An] / [CO5]

a). 3 days b). 7 days

c). 10 days d). 30 days

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11. Define Primary Market [U] / [CO2]

12. Explain the Domestic Systemically Important Banks (D-SIBs) framework. [U] / [CO4]

13. How would you define financial regulation? [U] / [CO1]

14. Explain the role of SEBI in protecting investors. [U] / [CO1]

15. What are written-off assets? [U] / [CO2]

16. Why is capital adequacy crucial for banks? [U] / [CO2]

17. Explain how deposit insurance can create moral hazard. [An] / [CO3]

18. Write two main types of Fin Tech [A] / [CO4]

19. How do regulatory norms for MFIs protect borrowers? [U] / [CO2]

20. What are the different types of capital issues in the primary market [K] / [CO2]

21. Define regulatory convergence between banks and NBFCs. [U] / [CO2]

22. What is FBIL ? [U] / [CO5]

23. How does the Integrated Ombudsman Scheme benefit financial consumers? [A] / [CO5]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

24.	Analyse how differentiated regulation and macroprudential regulation can complement each other in promoting financial resilience.	[An] / [CO2, CO4]
25.	Define financial stability and state its key characteristics.	[U] / [CO1]
26.	Explain the importance of Prompt Corrective Action (PCA) framework.	[U] / [CO3]
27.	Discuss the relationship between banking regulation, financial stability and depositor protection.	[E] / [CO2]
28.	Discuss the role of capital market institutions and intermediaries in economic development.	[An] / [CO2]
29.	What do you mean by Wire Transfers ? Examine the two primary types of Wire transfers.	[An] / [CO5]
30.	What are Asset Reconstruction Companies (ARCs)? Explain their role in resolving bad loans in India.	[U] / [CO5]

[6x5 = 30]